

# Plan for Your CHILD'S FUTURE

Being a parent is possibly the toughest financial responsibility there is. Are you ready for it?

■ By Narayan Krishnamurthy

Someone once said that the only thing children wear out faster than shoes is parents. Not just physically, mentally and emotionally, but also financially. There's little as expensive as bringing up a child. As Rajesh Dalmia, a Kolkata-based financial planner, says: "When it comes to raising children, money is limited, and demands far exceed the supply. Your financial commitments are driven by your child."

So, what can you do to ensure that your day-to-day expenses are taken care of, that your future financial plans are not ruined, and still give your child the best that money can buy? "To understand the costs that a child will bring in to your life is best understood by splicing the child's growth stage into three or four parts. After all, it's at least 20-25 years before your child can start earning," says Dalmia. And that's what we've done here to try and explain how it is possible to plan your finances to include the best for your child.

Where does the money for 20-25 years of supporting your child come from, you might ask. With the trend of nuclear families, you might be entering a phase when the family lives on a

single income for indefinite periods. Bringing up a child takes more than you imagine. Babies tend to outgrow things even before you buy them. And this means a steady stream of money disappearing into the clutches of ecstatic shopkeepers. The good news is that family and friends generally tend to congratulate the new parents with gifts of cash. "Even though it may seem early, it's the time to put all those cheques and start planning for the

## COLLEGE AND BEYOND

| EVENT                                             | COST (Rs)                    |
|---------------------------------------------------|------------------------------|
| Three-year graduation*                            | 3,00,000                     |
| Four-year engineering*                            | 5,00,000                     |
| Five-year medical                                 | 6,00,000                     |
| Post-graduation                                   | 20,000                       |
| Specialised post-graduation (MBA, MD/MS, MS, MCA) | 5,00,000                     |
| Clothes and accessories                           | 50,000                       |
| Miscellaneous**                                   | 1,00,000                     |
| <b>TOTAL</b>                                      | <b>6.5 lakh to 12.5 lakh</b> |

\*Fee, transportation, books, pocket money

\*\*Entertainment, eating out etc



child's future," says Zankhana Shah, a Mumbai-based financial planner.

There are a few structured plans that address planning for a child's future, especially from insurance companies and a few mutual fund schemes, and you might find it worth your while to explore these. While you will create expense head for your child, like any other financial dependents, the situation need a serious look towards education of the child (see table) especially college. The terrible teens will have a terrible impact on your finances, even if you are prepared for some extra expense. More pocket money, more clothes, increased telephone bills, steeper tuition fees...It's the last that could break the bank. Unless your child manages to get a full scholarship, you may have to shell out a few lakh of rupees on college—and several lakhs if it's a professional course.

While you can probably take care



of regular expenses, you must definitely plan in advance for admission into college. Higher education need a large fortune. If you want to study abroad, you'll need at least \$40,000 a year. Even a reputed college is a small matter of wealth. Providing capital for a business is a different set up. A business can cost a fortune. Most parents are not prepared to shell out a few lakhs on this; education can cost over a lakh.

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IIT

Education expense

in the year 2000 Rs. 1,08,000/-

in the year 2008 Rs. 2,20,000/-\*

\* This is an indicative cost for the entire course.

MBA

Educational expense

\* This is an indicative cost for the entire course.